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November 8, 2024

Consolidated Financial Results for the Six Months Ended September 30, 2024 (Under Japanese GAAP)



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 Listing: Tokyo Stock Exchange
 Securities code: 8022
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 Scheduled date to file semi-annual securities report: November 11, 2024
 Scheduled date to commence dividend payments: December 2, 2024
 Preparation of supplementary material on financial results: Yes
 Holding of financial results briefing: Yes (for institutional investors)

(Yen amounts are rounded down to millions, unless otherwise noted.)

1. Consolidated financial results for the six months ended September 30, 2024 (from April 1, 2024 to September 30, 2024)

(1) Consolidated operating results (cumulative)

(Percentages indicate year-on-year changes.)

	Net sales		Operating profit		Ordinary profit		Profit attributable to owners of parent	
Six months ended	Millions of yen	%	Millions of yen	%	Millions of yen	%	Millions of yen	%
September 30, 2024	119,613	4.5	11,151	20.0	11,308	7.2	8,097	4.1
September 30, 2023	114,506	15.4	9,294	14.2	10,552	23.5	7,782	21.0

Note: Comprehensive income For the six months ended September 30, 2024: 12,284 million yen [(7.0)%]
 For the six months ended September 30, 2023: 13,209 million yen [13.4 %]

	Earnings per share	Diluted earnings per share
Six months ended	Yen	Yen
September 30, 2024	316.62	—
September 30, 2023	304.38	—

(2) Consolidated financial position

	Total assets	Net assets	Capital adequacy ratio
As of	Millions of yen	Millions of yen	%
September 30, 2024	210,779	152,323	71.9
March 31, 2024	206,151	142,065	68.6

Reference: Equity
 As of September 30, 2024: 151,604 million yen
 As of March 31, 2024: 141,454 million yen

2. Cash dividends

	Annual dividends per share				
	First quarter-end	Second quarter-end	Third quarter-end	Fiscal year-end	Total
	Yen	Yen	Yen	Yen	Yen
Fiscal year ended March 31, 2024	—	35.00	—	85.00	120.00
Fiscal year ending March 31, 2025	—	60.00			
Fiscal year ending March 31, 2025 (Forecast)			—	60.00	120.00

Note: Revisions to the forecast of cash dividends most recently announced: None

3. Consolidated financial result forecasts for the fiscal year ending March 31, 2025 (from April 1, 2024 to March 31, 2025)

(Percentages indicate year-on-year changes.)

	Net sales		Operating profit		Ordinary profit		Profit attributable to owners of parent		Earnings per share
	Millions of yen	%	Millions of yen	%	Millions of yen	%	Millions of yen	%	Yen
Full year	250,000	8.8	19,000	10.0	20,500	6.3	15,000	4.8	586.64

Note: Revisions to the financial result forecast most recently announced: None

*** Notes**

- (1) Significant changes in the scope of consolidation during the period: Yes

Newly included: 2 companies (MIZUNO APAC (THAILAND) LTD., MIZUNO SIAM HOLDINGS LTD.)

Excluded: –

- (2) Adoption of accounting treatment specific to the preparation of semi-annual consolidated financial statements: Yes

Note: For details, please refer to “2. Semi-annual Consolidated Financial Statements and Principal Notes, (4) Notes to Semi-annual Consolidated Financial Statements, (Adoption of accounting treatment specific to the preparation of semi-annual consolidated financial statements)” on page 9 of the attachments.

- (3) Changes in accounting policies, changes in accounting estimates, and restatement

(i) Changes in accounting policies due to revisions to accounting standards and other regulations: Yes

(ii) Changes in accounting policies due to other reasons: None

(iii) Changes in accounting estimates: None

(iv) Restatement: None

- (4) Number of issued shares (common shares)

- (i) Total number of issued shares at the end of the period (including treasury shares)

As of September 30, 2024	26,578,243 shares
As of March 31, 2024	26,578,243 shares

- (ii) Number of treasury shares at the end of the period

As of September 30, 2024	997,735 shares
As of March 31, 2024	1,007,101 shares

- (iii) Average number of shares outstanding during the period (cumulative from the beginning of the fiscal year)

Six months ended September 30, 2024	25,575,066 shares
Six months ended September 30, 2023	25,567,305 shares

* Semi-annual financial results reports are exempt from review conducted by certified public accountants or an audit firm.

* Proper use of earnings forecasts and other special matters

The earnings forecasts and other forward-looking statements herein are based on information currently available to the Company and certain assumptions that the Company deems reasonable. Actual results may differ significantly from these forecasts due to a wide range of factors.

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1. Overview of Operating Results and Financial Position

(1) Overview of Operating Results for the Period

During the period under review, the Japanese economy maintained a gradual recovery trend. This was primarily thanks to improved employment and income conditions and continued strong consumption by inbound tourists. However, there are concerns regarding the volatility of the financial market due to the monetary policies of individual countries and changes in political and global landscapes, as well as changes in consumer sentiment amid the continued rise in prices. While overseas economies have also continued to recover, there are concerns about the slowdown of consumption owing to continuing high interest rates and increases in prices, as well as the impacts of growing instability in the global situation on financial markets and distribution networks.

Thanks to the global sport events that took place, the sport market has enjoyed growing opportunities for a wide range of sports. Meanwhile, the expansion of the sport market for outdoor personal sports such as golf, which continued to expand since the COVID-19 pandemic, has been steady.

Under such circumstances, the Group's sales in Japan remained robust in competitive sports products including football, volleyball, and racket sports, and sales of the work business remained strong. Overseas business performance also expanded, driven in part by the improvement of gross profit margin, in addition to the continued growth in sales of products for competitive sports such as football and lifestyle shoes.

As a result of these factors, net sales were 119,613 million yen, up 5,106 million yen (up 4.5% yoy), operating profit was 11,151 million yen, up 1,857 million yen (up 20.0% yoy), ordinary profit was 11,308 million yen, up 755 million yen (up 7.2% yoy), and profit attributable to owners of parent was 8,097 million yen, up 315 million yen (up 4.1% yoy), all of which were record highs for the first six months of a fiscal year.

Performances of each business segment are as follows.

a Japan

In Japan, sales of products for competitive sports, such as football, volleyball, and racket sports, remained strong. In addition, the work business, which is our non-sports businesses, remained solid. Sales of lifestyle shoes, which are the focus of our business expansion efforts in this region, increased as well.

As a result, the Group recorded net sales of 70,292million yen, up 2,127 million yen (up 3.1% yoy), and operating profit of 5,952 million yen, up 348 million yen (up 6.2% yoy).

b Europe

In Europe, the football business and lifestyle shoes business, which are the focus of our business expansion efforts in this region, enjoyed growth. Additionally, sales of products for competitive sports, such as volleyball, also increased. Gross profit margin of running shoes, which is one of our main products, improved reflecting our efforts to improve the margin.

As a result, although net sales decreased by 796 million yen (down 6.1% yoy) to 12,344 million yen, operating profit increased by 375million yen (up 144.3% yoy) to 635 million yen.

The exchange rates for each currency in Europe during the period under review are as follows:

Pound Sterling: 195.55 yen (177.07 yen in the same period of the previous fiscal year); Euro (branches): 165.47 yen (153.51 yen in the same period of the previous fiscal year); Euro (subsidiaries): 164.82 yen (147.00 yen in the same period of the previous fiscal year); Norwegian Krone: 14.35 yen (13.02 yen in the same period of the previous fiscal year)

c Americas

In the Americas, sales increased especially in the products for competitive sports in spite of downward pressures on business activities such as continuing high interest rates and advancing inflation. Gross profit margin improved thanks to progress in optimizing inventory levels.

As a result, net sales were 20,466 million yen, up 1,649 million yen (up 8.8% yoy), and operating profit was 2,335 million yen, up 362 million yen (up 18.3% yoy), all of which were record highs for the first six months of a fiscal year.

The exchange rates for each currency in the Americas during the period under review are as follows:

U.S. Dollar: 152.30 yen (135.99 yen in the same period of the previous fiscal year); Canadian Dollar: 112.40 yen (100.73 yen in the same period of the previous fiscal year)

d Asia and Oceania

In Asia and Oceania, the football business, which is the focus of our business expansion efforts in this region, experienced growth in South Korea and Southeast Asia. Furthermore, sales of products for competitive sports, such as racket sports and volleyball, also increased. Sales of lifestyle shoes grew as well, even though the sales volume was relatively small.

As a result, net sales were 16,509 million yen, up 2,126 million yen (up 14.8% yoy), and operating profit was 2,288 million yen, up 768 million yen (up 50.5% yoy), all of which were record highs for the first six months of a fiscal year.

The exchange rates for each currency in Asia and Oceania during the period under review are as follows:

New Taiwan Dollar: 4.78 yen (4.44 yen in the same period of the previous fiscal year); Hong Kong Dollar: 19.47 yen (17.36 yen in the same period of the previous fiscal year); Chinese Yuan: 21.08 yen (19.48 yen in the same period of the previous fiscal year); Australian Dollar: 100.61 yen (91.28 yen in the same period of the previous fiscal year); Korean Won (per 100 won): 11.28 yen (10.48 yen in the same period of the previous fiscal year); U.S. Dollar (Singapore): 152.30 yen (135.99 yen in the same period of the previous fiscal year); Thai Baht: 4.22 yen (not used in the same period of the previous fiscal year)

(2) Overview of Financial Position for the Period

Total assets at the end of the period under review increased by 4,628 million yen from the end of the previous fiscal year to 210,779 million yen. This was primarily due to increases of cash and deposits by 5,581 million yen and other non-current assets, such as tangible leased assets, by 2,373 million yen, while accounts receivable - trade decreased by 3,066 million yen.

Liabilities at the end of the period under review decreased by 5,629 million yen from the end of the previous fiscal year to 58,455 million yen. This was primarily due to decreases of notes and accounts payable - trade by 5,984 million yen and accounts payable - other, and accrued expenses by 2,548 million yen, while other non-current liabilities, such as lease liabilities, increased by 2,097 million yen.

Net assets increased by 10,257 million yen from the end of the previous fiscal year to 152,323 million yen.

As a result of the above, the equity ratio increased by 3.3 percentage points from 68.6% at the end of the previous fiscal year to 71.9%.

(3) Explanation of Consolidated Financial Results Forecast and Other Forward-looking Statements

The consolidated financial results forecast for the fiscal year ending March 31, 2025 has not changed from the financial results forecast announced on May 10, 2024.

2. Semi-annual Consolidated Financial Statements and Principal Notes

(1) Semi-annual Consolidated Balance Sheets

(Millions of yen)

	As of March 31, 2024	As of September 30, 2024
Assets		
Current assets		
Cash and deposits	31,963	37,545
Notes receivable - trade	4,814	4,171
Accounts receivable - trade	43,996	40,929
Merchandise and finished goods	45,117	44,523
Work in process	749	1,505
Raw materials and supplies	6,577	6,178
Other	6,122	6,461
Allowance for doubtful accounts	(679)	(695)
Total current assets	138,662	140,602
Non-current assets		
Property, plant and equipment		
Buildings and structures, net	17,685	17,380
Land	14,187	14,196
Other, net	5,293	7,667
Total property, plant and equipment	37,167	39,244
Intangible assets		
Goodwill	979	977
Other	5,469	5,514
Total intangible assets	6,449	6,492
Investments and other assets		
Investment securities	9,487	9,668
Deferred tax assets	1,671	1,879
Retirement benefit asset	10,270	10,529
Other	3,075	2,919
Allowance for doubtful accounts	(632)	(574)
Total investments and other assets	23,872	24,422
Total non-current assets	67,489	70,159
Total assets	206,151	210,779

	As of March 31, 2024	As of September 30, 2024
Liabilities		
Current liabilities		
Notes and accounts payable - trade	20,942	14,958
Short-term borrowings	750	1,745
Current portion of long-term borrowings	328	1,328
Accounts payable - other, and accrued expenses	15,137	12,589
Income taxes payable	3,704	2,826
Other	3,621	4,820
Total current liabilities	44,485	38,267
Non-current liabilities		
Long-term borrowings	11,586	10,239
Deferred tax liabilities	2,116	1,983
Deferred tax liabilities for land revaluation	1,807	1,807
Retirement benefit liability	249	218
Asset retirement obligations	338	339
Other	3,501	5,598
Total non-current liabilities	19,599	20,187
Total liabilities	64,085	58,455
Net assets		
Shareholders' equity		
Share capital	26,137	26,137
Capital surplus	31,854	31,921
Retained earnings	71,447	77,490
Treasury shares	(1,864)	(1,855)
Total shareholders' equity	127,574	133,694
Accumulated other comprehensive income		
Valuation difference on available-for-sale securities	3,598	3,657
Deferred gains or losses on hedges	291	(290)
Revaluation reserve for land	(319)	(319)
Foreign currency translation adjustment	8,088	12,750
Remeasurements of defined benefit plans	2,220	2,111
Total accumulated other comprehensive income	13,879	17,909
Non-controlling interests	611	719
Total net assets	142,065	152,323
Total liabilities and net assets	206,151	210,779

(2) Semi-annual Consolidated Statements of Income and Comprehensive Income

Semi-annual Consolidated Statement of Income

Six Months Ended September 30

(Millions of yen)

	For the six months ended September 30, 2023	For the six months ended September 30, 2024
Net sales	114,506	119,613
Cost of sales	69,100	70,222
Gross profit	45,406	49,391
Selling, general and administrative expenses	36,112	38,239
Operating profit	9,294	11,151
Non-operating income		
Interest income	95	77
Dividend income	149	145
Foreign exchange gains	1,096	—
Other	184	169
Total non-operating income	1,525	392
Non-operating expenses		
Interest expenses	221	82
Foreign exchange losses	—	94
Commission expenses	9	20
Other	36	38
Total non-operating expenses	267	235
Ordinary profit	10,552	11,308
Extraordinary income		
Gain on sale of non-current assets	617	40
Gain on sale of investment securities	53	2
Total extraordinary income	671	43
Extraordinary losses		
Loss on retirement of non-current assets	37	11
Loss on sale of investment securities	0	—
Total extraordinary losses	37	11
Profit before income taxes	11,187	11,340
Income taxes	3,345	3,129
Profit	7,841	8,210
Profit attributable to non-controlling interests	59	113
Profit attributable to owners of parent	7,782	8,097

Semi-annual Consolidated Statement of Comprehensive Income

Six Months Ended September 30

(Millions of yen)

	For the six months ended September 30, 2023	For the six months ended September 30, 2024
Profit	7,841	8,210
Other comprehensive income		
Valuation difference on available-for-sale securities	566	58
Deferred gains or losses on hedges	1,443	(582)
Revaluation reserve for land	307	—
Foreign currency translation adjustment	3,142	4,706
Remeasurements of defined benefit plans, net of tax	(92)	(109)
Total other comprehensive income	5,367	4,073
Comprehensive income	13,209	12,284
Comprehensive income attributable to		
Comprehensive income attributable to owners of parent	13,105	12,127
Comprehensive income attributable to non-controlling interests	104	156

(3) Semi-annual Consolidated Statement of Cash Flows

(Millions of yen)

	For the six months ended September 30, 2023	For the six months ended September 30, 2024
Cash flows from operating activities		
Profit before income taxes	11,187	11,340
Depreciation	1,404	1,444
Amortization of goodwill	49	52
Increase (decrease) in net defined benefit asset and liability	(241)	(302)
Increase (decrease) in allowance for doubtful accounts	72	(90)
Interest and dividend income	(245)	(223)
Interest expenses	221	82
Loss (gain) on sale of investment securities	(53)	(2)
Loss (gain) on sale of non-current assets	(617)	(40)
Loss on retirement of non-current assets	37	11
Decrease (increase) in trade receivables	3,945	5,827
Decrease (increase) in inventories	2,864	3,156
Increase (decrease) in trade payables	(6,325)	(7,172)
Increase (decrease) in accounts payable - other, and accrued expenses	(1,219)	(1,534)
Other, net	(2,195)	(460)
Subtotal	8,884	12,088
Interest and dividends received	245	222
Interest paid	(229)	(80)
Income taxes paid	(1,091)	(4,105)
Net cash provided by (used in) operating activities	7,807	8,125
Cash flows from investing activities		
Purchase of property, plant and equipment	(801)	(1,146)
Proceeds from sale of property, plant and equipment	1,180	123
Purchase of intangible assets	(379)	(532)
Purchase of investment securities	(71)	(0)
Proceeds from sale of investment securities	140	—
Net decrease (increase) in short-term loans receivable	246	242
Proceeds from sale of shares of subsidiaries and associates	—	3
Other, net	(4)	(88)
Net cash provided by (used in) investing activities	309	(1,399)
Cash flows from financing activities		
Net increase (decrease) in short-term borrowings	(6,745)	146
Proceeds from long-term borrowings	2,000	—
Repayments of long-term borrowings	(2,530)	(314)
Purchase of treasury shares	(6)	(10)
Dividends paid	(1,021)	(2,167)
Dividends paid to non-controlling interests	(79)	(77)
Repayments of lease liabilities	(111)	(135)
Net cash provided by (used in) financing activities	(8,494)	(2,558)
Effect of exchange rate change on cash and cash equivalents	568	1,369
Net increase (decrease) in cash and cash equivalents	190	5,537
Cash and cash equivalents at beginning of period	23,845	31,963
Increase in cash and cash equivalents resulting from inclusion of subsidiaries in consolidation	—	44
Cash and cash equivalents at end of period	24,036	37,545

(4) Notes to Semi-annual Consolidated Financial Statements

(Changes in accounting policies)

(Application of “Accounting Standard for Current Income Taxes” etc.)

The “Accounting Standard for Current Income Taxes” (Accounting Standards Board of Japan (“ASBJ”) Statement No. 27, October 28, 2022; hereinafter referred to as the “Revised Accounting Standard 2022”), etc. have been applied from the beginning of the six months ended September 30, 2024.

The amendment to categories in which current income taxes should be recorded (taxes on other comprehensive income) follows the transitional treatment prescribed in the proviso of paragraph 20-3 of the Revised Accounting Standard 2022 and the transitional treatment prescribed in the proviso of paragraph 65-2 (2) of the Guidance on Accounting Standard for Tax Effect Accounting (ASBJ Guidance No. 28, October 28, 2022; hereinafter referred to as the “Revised Guidance 2022”). This change in accounting policies has no impact on the semi-annual consolidated financial statements.

For the amendment related to the revised accounting treatment for consolidated financial statements when gains or losses on the sale of shares in subsidiaries resulting from transactions between consolidated companies were deferred for tax purposes, the Revised Guidance 2022 has been adopted from the beginning of the six months ended September 30, 2024. This revision in the accounting policies was applied retrospectively. Also, the semi-annual consolidated financial statements for the same period of the prior fiscal year and the consolidated financial statements for the prior fiscal year have been modified retrospectively. This revision in accounting policies has no impact on the semi-annual consolidated financial statements for the same period of the prior fiscal year and the consolidated financial statements for the prior fiscal year.

(Adoption of accounting treatment specific to the preparation of semi-annual consolidated financial statements)

Calculation of tax expenses

Tax expenses were calculated by multiplying profit before income taxes for the period under review by a reasonably estimated effective tax rate for profit before income taxes for the fiscal year ending March 31, 2025, including the six months ended September 30, 2024, after the application of tax effect accounting.

(Segment information, etc.)

I. For the six months ended September 30, 2023 (from April 1, 2023 to September 30, 2023)

1. Information on net sales and profit for each reportable segment

(Millions of yen)

	Reportable segment				
	Japan	Europe	The Americas	Asia and Oceania	Total
Net sales					
Net sales from external customers	68,165	13,141	18,817	14,383	114,506
Inter-segment internal net sales and transfers	3,191	—	6	1,920	5,118
Total	71,356	13,141	18,823	16,304	119,625
Segment profit	5,603	260	1,973	1,520	9,357

2. Difference between total reportable segment profit and the amount recorded in the semi-annual consolidated statement of income, and major details of this difference (matters related to adjustments of difference)

(Millions of yen)

Profit	Amount
Total reportable segment profit	9,357
Inter-segment transaction eliminations and other adjustments	(62)
Operating profit recorded in the semi-annual consolidated statement of income	9,294

II. For the six months ended September 30, 2024 (from April 1, 2024 to September 30, 2024)

1. Information on net sales and profit for each reportable segment

(Millions of yen)

	Reportable segment				
	Japan	Europe	The Americas	Asia and Oceania	Total
Net sales					
Net sales from external customers	70,292	12,344	20,466	16,509	119,613
Inter-segment internal net sales and transfers	3,291	—	13	1,872	5,177
Total	73,583	12,344	20,480	18,382	124,791
Segment profit	5,952	635	2,335	2,288	11,211

2. Difference between total reportable segment profit and the amount recorded in the semi-annual consolidated statement of income, and major details of this difference (matters related to adjustments of difference)

(Millions of yen)

Profit	Amount
Total reportable segment profit	11,211
Inter-segment transaction eliminations and other adjustments	(60)
Operating profit recorded in the semi-annual consolidated statement of income	11,151

(Notes in case of significant changes in shareholders' equity)

Not applicable.

(Notes on going concern assumption)

Not applicable.